



March 17, 2025

Representative Nathan Sosa, Chair
Oregon House Committee on Commerce
and Consumer Protection
900 Court St. NE, H-280
Salem, Oregon 97301

Representative Farrah Chaichi, Vice Chair
Oregon House Committee on Commerce
and Consumer Protection
900 Court St. NE, H-478
Salem, Oregon 97301

Representative Virgle Osborne, Vice Chair
Oregon House Committee on Commerce
and Consumer Protection
900 Court St. NE, H-375
Salem, Oregon 97301

Representative Willy Chotzen
900 Court St. NE, H-485
Salem, Oregon 97301

Representative Hai Pham
900 Court St. NE, H-282
Salem, Oregon 97301

Senator Anthony Broadman
900 Court St. NE, S-423
Salem, Oregon 97301

RE: Letter in Opposition to Oregon HB 3899

Dear Chair Sosa, Vice-Chair Chaichi, Vice Chair Osborne, Representative Chotzen,
Representative Pham, and Senator Broadman:

On behalf of the advertising industry, we write to oppose HB 3899.¹ We provide this letter to offer our non-exhaustive list of concerns about this bill. Our organizations support meaningful privacy protections for Oregon residents. However, HB 3899 would make significant changes to Oregon's omnibus privacy law less than a year after that law took effect.² If enacted, the bill would flatly ban the use of sensitive data for targeted advertising and sales, when Oregon consumers presently can provide opt-in consent to allow sensitive data processing for those purposes. The approach in HB 3899 would make Oregon out-of-step with approximately 20 other states that have enacted omnibus privacy laws to date.³ As a result, HB 3899 would needlessly remove Oregonians' ability to make choices about businesses' data processing practices and only add to the increasingly complex privacy landscape for both businesses and consumers across the country. Accordingly, we ask you to decline to advance the bill as drafted out of the House Committee on Commerce and Consumer Protection ("Committee").

As the nation's leading advertising and marketing trade associations, we collectively represent thousands of companies across the country. These companies range from small businesses to household brands, advertising agencies, and technology providers. Our combined

¹ Oregon HB 3899 (83rd Or. Leg. Assemb., 2025 Reg. Sess.), located [here](#) (hereinafter, "HB 3899").

² Or. Rev. Stat. §§ 656A.570 – 589.

³ See, e.g., Colo. Rev. Stat. § 6-1-1308(7); Va. Code Ann. § 59.1-578(5); Mont. Code Ann. § 30-14-2812(2)(b).

membership includes more than 2,500 companies that power the commercial Internet, which accounted for 12 percent of total U.S. gross domestic product (“GDP”) in 2020.⁴ By one estimate, over 60,000 jobs in Oregon are related to the ad-subsidized Internet.⁵

If enacted, HB 3899 would take away a benefit and choice that is available to Oregon residents under current law. If enacted, the bill would flatly prohibit the processing of sensitive data for targeted advertising or sales, even if a consumer has consented to such activity.⁶ Oregon privacy law presently allows sensitive data to be processed for these purposes if a consumer provides their opt-in consent for such data processing. Oregonians may choose to allow sensitive data to be processed for these purposes for myriad reasons. They may, for example, desire to see messaging and advertising that is relevant to their interests or wish to receive AMBER alerts or severe weather alerts based on their precise geolocation. HB 3899 could impede these benefits from reaching Oregonians by making an unnecessary change to Oregon law by removing Oregonians ability to choose to allow sensitive data processing for targeted advertising and sales.

In addition, HB 3899 would make Oregon’s privacy law out-of-step with almost every other state omnibus privacy law that has been enacted to date. Harmonization with existing privacy laws is essential to create an environment where consumers in Oregon have privacy protections that are consistent with those in other states, while minimizing unnecessary compliance costs for businesses. A patchwork of differing privacy standards across the states would create significant costs for businesses and consumers alike.

Compliance costs associated with divergent privacy laws are significant. To make the point: a regulatory impact assessment of the California Consumer Privacy Act of 2018 concluded that the initial compliance costs to California firms would be \$55 billion.⁷ Another recent study found that a consumer data privacy proposal in a different state considering privacy legislation would have generated a direct initial compliance cost of \$6.2 billion to \$21 billion and ongoing annual compliance costs of \$4.6 billion to \$12.7 billion for the state.⁸ Other studies confirm the staggering costs associated with varying state privacy standards. One report found that state privacy laws could impose out-of-state costs of between \$98 billion and \$112 billion annually, with costs exceeding \$1 trillion dollars over a 10-year period, and with small businesses

⁴ John Deighton and Leora Kornfeld, *The Economic Impact of the Market-Making Internet*, INTERACTIVE ADVERTISING BUREAU, 15 (Oct. 18, 2021), located at https://www.iab.com/wp-content/uploads/2021/10/IAB_Economic_Impact_of_the_Market-Making_Internet_Study_2021-10.pdf.

⁵ *Id.* at 132.

⁶ HB 3899 at Sec. 2, §§ 646A.578(2)(d), (e).

⁷ See State of California Department of Justice Office of the Attorney General, *Standardized Regulatory Impact Assessment: California Consumer Privacy Act of 2018 Regulations*, 11 (Aug. 2019), located at https://dof.ca.gov/wp-content/uploads/sites/352/Forecasting/Economics/Documents/CCPA_Regulations-SRIA-DOF.pdf.

⁸ See Florida Tax Watch, *Who Knows What? An Independent Analysis of the Potential Effects of Consumer Data Privacy Legislation in Florida*, 2 (Oct. 2021), located at <https://floridatxwatch.org/DesktopModules/EasyDNNNews/DocumentDownload.ashx?portalid=210&moduleid=34407&articleid=19090&documentid=986>.

shouldering a significant portion of the compliance cost burden.⁹ Oregon should not add to this compliance bill for businesses and should instead opt for an approach to data privacy that is in harmony with already existing state privacy laws.

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We and our members strongly support meaningful privacy protections for consumers. We believe, however, that HB 3899 would remove meaningful choices Oregonians can presently exercise and would impose unnecessary and onerous bans on businesses' ability to process sensitive data for certain purposes. We therefore respectfully ask the Committee to decline to advance HB 3899 any further in the legislative process.

Thank you in advance for your consideration of this letter.

Sincerely,

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CC: Mike Signorelli, Venable LLP
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⁹ Daniel Castro, Luke Dascoli, and Gillian Diebold, *The Looming Cost of a Patchwork of State Privacy Laws* (Jan. 24, 2022), located at <https://itif.org/publications/2022/01/24/looming-cost-patchwork-state-privacy-laws> (finding that small businesses would bear approximately \$20-23 billion of the out-of-state cost burden associated with state privacy law compliance annually).